

Barclays Q2 2026 Results**28 July 2026****Q&A transcript (amended in places to improve accuracy and readability)****Chris Hallam, Goldman Sachs**

Good morning everybody, two questions from me. You talked about a commensurate improvement in Group efficiency in 2027 from the £300 million of additional SCA (Structural Cost Actions) spend in H2. So, could you comment then on how you feel about the £18.2 billion of [total operating expenses] that consensus has in for next year? Does that feel too high or too low when you think about the SCA tailwinds on the one hand, versus some of the higher compensation costs on the other hand?

And then second, on Equities, I get the mid-40s print that looks a bit low versus peers, but it's basically in line on a two-year stack. I just wondered if you could give any colour on regional trends, growth in the US and APAC, whether how much that would have been higher versus what we see here in EMEA. And in Financing, I was surprised that was flat quarter-on-quarter. It seems like Prime was really strong across the street in the second quarter. So, if you could unpack that Financing sequential evolution a bit, maybe it's Fixed [Income] Financing versus Prime, maybe it's balance sheet discipline, just anything you have to say there on that topic as well please. Thank you.

Anna Cross, Group Finance Director

Okay Chris, I will start and then I will ask Venkat to make some comments. So, what we have said is that we expect to take up to a further £300 million of structural cost actions in the second half because we see compelling opportunities to get a good return on investment and drive the long-term sustainable returns of the business. In so doing, we expect a commensurate improvement in the gross efficiencies next year.

Now what we haven't done is given absolute targets in costs. The way we think about costs is because returns are our north star, cost: income ratio is our north star, because to the extent that the business has a degree of momentum around it, we may incur further absolute costs. So that's what's really important to us. We believe that the cost: income ratio in 2028 will continue to be a low 50s print, and we expect 2027 to be a meaningful step towards that from the high 50s cost:

income ratio that we expect in the current year. But we're fully expecting a commensurate increase in gross efficiencies, and you will see that coming through in terms of cost: income ratios.

In terms of the Equities print, that is very much driven by the investments that we have made in the business. What we see all the way across the Investment Bank is that we are growing in the areas that we expected to grow within. So particularly within Equities, what you're seeing is a strong print in Equity Derivatives and also a strong print in Prime. We have some exposure to the Asian market through our Prime business, where we're essentially satisfying the demands of our global clients and we noted that about 80% of that growth is coming from our top 100 [Markets clients]. So it's just reflective of that global strategy.

Venkat anything you would add?

C.S. Venkatakrishnan, Group Chief Executive

Yes, and I think just to add on to that you should view this picture in terms of the longer term of what we said about the Investment Bank. So, one is just starting big and then coming small. We said that we are going to operate with a stable capital base of around £200 billion, give or take, and we've been there.

Second, is we expected that [the Investment Bank] would be a smaller fraction of the overall bank, which it is. Third, that we'd be increasing top-line revenues, increasing returns, which means costs fall relative to revenues, and increasing capital efficiency and we've shown you a number of 7.7% return on RWAs [in Q226]. So, all of those things have been achieved over the full period, and I believe in nine [consecutive] quarters [of year-on-year improvement].

Within that, we also said we would diversify the business, both in terms of stable sources of income versus Intermediation, and then the role of Equities versus Fixed Income. So, there are slides here which sort of indicate that. Page 41, for instance, shows you the rising stable sources of income from Financing in the International Corporate Bank. Equities is now 30-odd% of the bank's revenue in Markets, and that is to be desired. This is the house that Fixed Income built. I'm very happy, I'm fond of saying. But it's increasingly a house on which we lean on Equities.

And as Anna said, the regional shift has gone a little bit towards Asia, helping our large clients access the Asian markets. Our balance sheet has grown a little to take advantage of that, but you should continue to see this business operate with the principles and the guardrails which we've set out two and a half years ago. Stable capital, increasing capital efficiency, revenue improvement, disciplined cost management, higher returns, and a more diversified business in

terms of stable sources of revenue versus Intermediation, Equities versus Fixed [Income], Financing versus the rest.

Alvaro Serrano, Morgan Stanley

Good morning, thanks for taking my questions.

I had two, first of all on deposit competition in the UK. You call out product margin being slightly weaker, presumably that's the ISA season and deposit dynamics. The question is really, what's the level of confidence that it's just the ISA season, because loan growth is strong, presumably we've seen in other regions that driving persistent deposit competition, but you're obviously confident because your BUK NII guidance is pointing to 3% quarter-on-quarter growth, run-rate more or less for the next couple of quarters. So maybe some, if you can expand on your confidence, why this is transitional and NII should accelerate from here and we shouldn't worry about that deposit competition dynamics.

And the second question on US Consumer Bank. I don't think I have heard it this time, but apologies in advance if I didn't catch it, but I think you were talking to a 14% NIM in the second half as a run-rate for [USCB]. Can you touch on that if it's still an expectation, and expand on the broader revenue picture for the second half. I know you touched on the securitisation margins, but just what to expect as a run-rate going forward. Thank you.

Anna Cross

Okay. Thank you, Alvaro. I'll start on both of those, and then Venkat may have some comments on USCB.

As we called out in our prepared remarks, we have seen a high level of deposit competition in the second quarter of the current year. You are absolutely right, that relates in large part to the ISA season. We saw an ISA season that was 7% higher than the previous year and very competitive in terms of its pricing. Now, most of our maturities were actually in the first quarter. Most of the market maturities were in the second quarter. And that allowed us to somewhat stand back and price very selectively and use our Premier proposition to really defend and maintain our market share, which is what we have done and about 85% of the growth that we've seen in the ISA balances year-on-year are driven by our Premier customers, which is exactly what we want. So, we think we've done a good job, but that said, you can see some marginal pressure in that product margin.

We said that we expected that product margin cash impact to be broadly flat quarter-on-quarter, and you can see it was a little worse, and that's essentially down to that fact.

As we look forward from here, we have confidence in the NII progression across Q3 and Q4. If you recall what we said at the outset of the year, we felt that Q1 to Q2 would be a bit more muted. Initially, we said stable. Then we expected a little bit of growth, which has clearly been somewhat challenged. But from here on in, we continue to expect growth. Why? Because in the second half of the year, we see cards seasonality. There is a day count component. We have seen mortgage margins somewhat recover after the compression that we saw in the Q1 swap volatility. And very importantly, in relation to deposits, a couple of things.

Firstly, you've got the concentration of the ISA market behind you. But secondly, remember that term deposits are in large part one-year products. And we saw the start of this more intense competition in the second half of last year. So, as we go forward from here, what you're going to see is that the maturing margin and the prevailing front book margin are somewhat converging in the second half of the year. That was not true for the market in the first half. If pricing stays where it is, they'll be broadly neutral by Q4. So, we're taking all of that into account, Alvaro, and we expect sequential growth in BUK NII into Q3, and then again into Q4.

So, moving into USCB. So in the quarter, we've seen two impacts that relate directly to the elevated level of rates versus what we expected. And I should say that the underlying business is performing as we anticipated. So we're seeing good underlying cards growth, particularly, for example within our General Motors portfolio, we're seeing good volumes within Best Egg. The NIM progressed to 13.2% as we expected with the roll-off of [American Airlines]. We do expect NIM progress from here, and I expect it to elevate into the third quarter and fourth quarter.

Because rates are a bit more elevated, deposit margins are a bit more compressed, and therefore you might see that hold it back a little bit, but I do expect to see further progress from here. The more material impacts in [USCB] are actually around non-NII, as you called out, and again that's rates driven, and it's just because the reference rate is a little bit higher than we anticipated, but APRs haven't really moved. The prices of those securitised loans going into the market is a bit compressed, versus what we expected. But as we step back, Q2 has been a really pivotal quarter in terms of what we expect from this business on a go forward.

Venkat, you might want to comment a bit more on that.

C.S. Venkatakrishnan

Yes, I mean look, first, on this business, we've been talking about this for a number of years. At its core, it's a partnership card model, but we've been building beyond that. First, we've been rebalancing it towards retail, that's on the top right of page 28.

The second is, we've been increasing the amount of deposit growth, especially the retail side, and as a share of total deposits, that's the bottom left and middle of page 28. Third is, we have built essentially a digital bank in the US, now, with 25 million customers and not a single branch. It's got deposits, it's got cards, and now with Best Egg, direct to consumer loans.

And in a way, this part of the bank has been the leader for the bank in digitisation, in efficiency, in harmonising systems, all the things we are investing in and which some of our SCAs are about. And what you could see at the bottom right is the cost efficiency in that group, where the cost-to-income ratio is, I think the best in the Group at around 39%, and it allows two things.

One is high cost efficiency. This is what we are trying to do everywhere, that's what the SCAs announced this quarter are about. Second, it allows us to bring in a lot of change quickly because of the tech platform. So we transitioned American Airlines, we've integrated Best Egg, and we've announced a product launch with Samsung with both their cards on their way to a digital wallet. So, we are very ambitious about this part of the bank, and hopefully you'll continue to see strong results coming from it.

Thank you.

Anna Cross

Okay, thank you. Thank you, Alvaro, for the question. Next question please.

Guy Stebbings, BNP Paribas

Hi, morning. Thanks for the questions. The first one was back on the US Consumer [Bank]. There's obviously a lot going on in the quarter with [American Airlines] and Best Egg.

I think you've previously said that the Q1 [income] figure of £983m, with maybe a little bit of a growth, was sort of a reasonable gauge into Q3 and beyond. I just want to check, I think you made an earlier comment from the call to suggest maybe that wasn't the case. So can I just sort of check that comment you made earlier in terms of when we get back to that Q1 run-rate. I seem to remember at Q1 as well, you're talking about a lot of upside to consensus, [USCB] NII, I think

it's moved a bit, but maybe you're able to reflect at all on where market expectations now sit for that business would be helpful.

And the second question was on cost investments. I mean, clearly, a very good revenue performance, helped by the IB, and has given you that extra capacity for investment. Appreciate you want to leave yourself scope for further investment here, but as we look out to 2028 and the cost: income [ratio], which you highlighted sort of being the north star, is your conviction improving as to where you land within a low 50s cost-to-income ratio? Given that incremental investment that you're making, and just wondering if you can look at where market expectations [are at 54%, and whether that is ambitious enough]? Thank you.

Anna Cross

Okay, thank you, Guy. So if you recall, and clearly you do, in Q1, I said I felt that Q1 was a good basis for subsequent quarters. I think given those two rate impacts that I've called out, it feels like it'll take us a little bit longer to build back to that base, Guy, and that's really what we're saying here, primarily in terms of those sold securitisation prices. Although, remember, as a bank, we do have some optionality here. So, we have probably greater optionality than some participants in that market, in that we can choose to hold some on the balance sheet if we feel that's the right thing to do.

But, as Venkat said, our conviction about this business, strategically, is completely unchanged by a quarter's rate expectations. And we still feel that we have the organic momentum in the existing cards business, in Best Egg and in what we have announced in respect of Samsung.

You might also remember that in Q1, I talked about a pipeline of future partners where we would bring everything into one place for them. And that's really what we were referring to when we reflect that Samsung partnership. More to go there.

In terms of NII in 2028, I'm not going to mark-to-market this every single quarter. What I would say is I made a comment, clearly, analysts have responded, thank you. And as I see the movement, I see it in the two particular areas that I called out at the time. One was [USCB], and one was our UK Corporate Bank.

If I can move on to cost investments, as Venkat said, what we are focusing these investments on is exactly what we said we would do in our Investor Update in February. It is around platform modernisation. It is around process optimisation. It is around change delivery modernisation and in so doing making the organisation simpler on a permanent and enduring basis. So clearly what

that investment does is it gives us greater confidence that we will be able to achieve our results in the short to medium term.

So these are exactly the investments that we anticipated that we would be making, but two things have really changed since that Investor Update in terms of timing. The first is just the momentum of the earnings. I mean our earnings per share are up 43% [year-on-year] in the second quarter and that allows us to make these investments whilst balancing our primary two commitments, which are progressive returns and progressive distributions. So ensuring that everyone is sharing in that momentum. And then the second thing is, the more work we do, the clearer the view that we have on the opportunities that are in front of us to make the bank more efficient. That's why we have the conviction in the ROI.

From our perspective, it gives us more confidence about a RoTE target which is open-ended for 2028. Actually, just as importantly, beyond that point, because we said what we were doing here was somewhat deliberately not optimising the short-term ROI of the business, but to be looking forward and creating, yes, a progressive ROI pathway, but a sustainable and higher level of ROI in 2028 and beyond, what we called an all-weather RoTE. That's really what we're trying to achieve but see it as more conviction in 2028 and beyond.

C.S. Venkatakrishnan

I mean look, just to add a few things to Anna. First of all, absolutely we have much more conviction today on the cost-income target for 2028, which is in the low 50s. Second, as I said in the answer to the previous question, look at the US Consumer Bank as a bellwether indication of how this works in practice. What happens is that we invest in technology and processes and systems, and you see a result in cost: income ratio. So that's why we have the greater conviction.

Third, reiterating Anna's point, we are using the benefits of our higher returns over the last two quarters to invest in the things that we said we would. First, share the distributions with you, our shareholders. Second, of course, be well-capitalized. Progressive returns to you, our shareholders. And importantly, to continue to invest in the business, so that we can achieve these targets with greater confidence and speed. That's how you should read everything today.

Anna Cross

Thank you so much Guy. Can we have the next question please?

Jonathan Pierce, Jefferies

Hello, good morning. I've got two questions please.

The first is really just a clarification of some of the answers you've given in the last 30 minutes on both Net Interest Income and costs. On the NII, it sounded like, from what you were saying Anna, as though USCB forecasts for 2028 have maybe got to circa the right place, but UKCB is still a bit low. I know you don't want to be marking-to-market every quarter, but it would be helpful just to get a sense as to whether I've read between the lines correctly there.

And then on the cost: income ratio, again totally understand you don't want to be bound to an absolute cost number next year, but consensus is at 55.5% on the cost: income ratio. That feels a meaningful step down from this year, towards the low 50s in full year '28. Are you comfortable with consensus cost: income ratio for next year? So sorry to focus on consensus and guidance.

The second question is the dividend. Nice increase in the dividend in the first half. In the last four years, the first half dividend has tended to be 30% to 35% of the full year. Is that the sort of shape we would expect moving forwards? Because if it is, it's obviously pointing to a slightly higher dividend this year than consensus has got in and probably a little more than the £2 billion that you talked about as well. So, if you could help us with the shape of the dividend, that would be good. Thanks.

Anna Cross

So Jonathan, let me take your first clarification points. So, I'll just repeat what I said. I'm not going to mark-to-market. Clearly, the analyst community has listened, and we've seen a movement in that consensus for 2028. We have confidence in all of our businesses, and we have confidence in the UK Corporate Bank, as well as the US Consumer Bank. So, we've seen both of them move up.

In terms of cost: income ratio, look, it's high 50s this year. Our expectation low 50s in 2028. We haven't given you any guidance at all for 2027, but what we are saying is that given that we are committed to progressive returns year-on-year and progressive distributions, you should expect us to be making a meaningful step between the high and the low position in 2027.

And then coming to dividends, you're right over the last few years, we've typically done one-third, two-thirds. We've made a deliberate shift towards a 40% to 60%. The reason that we've done that is we feel it's more reflective of our US and our European peers. It is more consistent with our general desire to get distributions into the hands of shareholders more quickly. See it as consistent with the move to the quarterly buyback.

At the half-year, we are at £9 billion of our at least £10 billion guidance that we gave you for '24 to '26. We've paid £800 [million] of the £2 billion dividend already. You should be expecting £9 billion plus £1.2 billion plus another two-quarters of buybacks.

Clearly we said our distributions would be progressive and that's probably the limit of the guidance I can give you at this stage, Jonathan, but hopefully you can see the conviction that we have around distributions which are up 61% year on year.

Jonathan Pierce, Jefferies

Okay thanks very much.

Anna Cross

Thank you, Jonathan. Next question please.

Benjamin Toms, RBC

Good morning both. Thank you for taking my question. The first one's on PBWM. Net New AUM in PBWM in Q2 was relatively weak. What's impacting performance here? I think I was a little surprised, my feeling was you've been quite active in trying to make your proposition more attractive in this space.

And then secondly on BUK, you spoke in previous quarters about your strong mortgage pipeline. Have high swap rates and the news flow around the changes to stamp duty, albeit potentially changed overnight, have they had much of an impact on your mortgage pipeline as we stand today? Thank you.

Anna Cross

Thanks, Ben. I mean, there's nothing I would particularly call out on PBWM. I can hand to Venkat for what we've been doing there, but in absolute terms, these are not very large numbers, and therefore, they can be a bit lumpy. Clearly, we have ambition for this business for it to be much bigger, so you can get some lumpiness quarter to quarter. As we look over the first half in totality, it looks completely fine and actually broadly similar to the previous year.

Let me just deal with mortgages, and then I'll hand to Venkat on PBWM more generally. What we've seen is a strong quarter in Mortgages. As I mentioned before, we've seen somewhat of a recovery in application margins in Q2 after the compression that we experienced in Q1. Actually, the gross completions were very strong, we had a £10.0 billion quarter, that's the biggest quarter we've ever had, and June in particular was a very significant month for us, so no signs as yet.

There's real wage growth in the economy and good demand for mortgages as we see it across the bank. Our gross share has exceeded our stock share now for many, many quarters, and clearly, we have quite a breadth of proposition now with Kensington in place. The only thing I would call out is that we have seen a slight change, if you like, in the mix of what people are looking at.

So a couple of things. Firstly, people are remortgaging quickly given, if you like, that uncertainty in the market, and secondly, we're seeing a move to lower tenors and more tracker products, relatively speaking, just as customers are seeking to secure, if you like, a lower rate in a slightly more uncertain environment. So that's the only thing I would call out at this stage. Venkat?

C.S. Venkatakrishnan

Yes, look. On PBWM, of course, I'll reiterate what Anna said, that you'll see, given the size of this business, some movement quarter-to-quarter. But I think, again, the broader picture here is very important.

The overall terms of this business are affected both by the growth of the business that you see, as well as our investment. Our investment comes not just in technology, but in the way in which we are constructing products, making them more accessible. Our broad goal for the Wealth Management and Direct Investing part of this, which is much more of the mass market in the UK, is to make available low-cost, transparently constructed and priced, risk-appropriate options to the investment public. We want them to invest in their financial futures. And in this quarter, we've done two things to make that easier.

One is that we removed custody charges for all customers in Barclays Direct Investing. So with that removal of custody charges, we've got the most competitively priced alternative for those who seek full-service investment with the security of dealing with a large provider, particularly a bank.

Another thing we did as part of our Premier product in retail, is that we've launched something called Planning and Advice, which allows Premier customers to access human-led advice through our app, again, with no upfront fee. So, all of this is a form of investment in the future of financial

planning. And we expect to see the results of this investment over time. But you're absolutely right to point out that this is an important area of focus here and hopefully a long-term growth area for us.

Benjamin Toms, RBC

Thank you.

Anna Cross

Okay, thank you, Ben. Perhaps we could go to the next question, please.

Chris Cant, Autonomous

Good morning. Thanks for taking the questions. I just wanted to come back on BUK and PBWM, if that's okay.

On BUK and the £8.2 billion implied NII figure, I know you said middle of the £8.1 billion to £8.3 billion range, but let's just work with £8.2 billion for the sake of argument. Is that specifically assuming 3.5% swap reinvestment in the second half? Because consensus is about £50 million higher on the full year, but it seems like maybe £30 million of that is just consensus assuming a 4% and change reinvestment rate and you perhaps sticking to the 3.5% planning assumption.

And also on this £8.2 billion, if I think about the quarter-over-quarter kind of sequential growth, it looks like you're implicitly saying, actually into the second half the NII build is faster than consensus had in, and that probably we get to the same Q4 exit run rate, arguably higher if we trued up for swap investments. So that's on the £8.2 billion.

And then just following up on the previous question on PBWM and your comments Venkat about the price point on Direct Investing paying off over time. Can you just give us a sense of how you see this fitting into the broader customer strategy in the UK? Obviously if you're not charging custody fees, I assume that the plan is not to kind of whack custody fees back up at some point down the line. So is this really just trying to improve customer stickiness? Is that how that fits into your strategy of kind of re-bundling the UK banking relationship, now that you can cross sell a little bit more without fear of regulatory reprisal and that sort of thing? Is that how you see that playing into the strategy or is there some other revenue opportunity you're seeing, whether it's sort of

taking that first free advice further and ultimately getting some [Independent Financial Advisor] fees on a recurring basis?

I'm just interested to see where you see the revenue opportunity. It feels like a sensible thing to do, from a broadening customer proposition perspective, but obviously you're not making money on the custody. So where are you making money? Thank you.

Anna Cross

Okay, Chris, I will start and then I will hand to Venkat.

So at the beginning of the year, we gave you a range of £8.1 billion to £8.3 billion on BUK [NII guidance] and we said that the reason for that range was actually around how we felt around the uncertainty on deposit dynamics in particular. All we're saying at this point in time is that with the ISA season behind us, given the pricing dynamics that I called out before, there's a narrowing range of outcomes in the second half and us focusing on that middle of the range reflects that and no more.

In terms of the swap rates, we consistently apply a swap rate assumption of 3.5% to our structural hedge. We think that's the right sort of sensible basis for it. You're correct, we have seen over the first two quarters, the actual rate of reinvestment being in excess of that. That has very little impact in the current year. However, it will increase NII in future years and it will lead to a stronger tailwind beyond the sort of length of this plan, if you like, beyond 2028.

I think we told you that we expected half of our income growth to be coming from the structural hedge between '26 and '28. Clearly, this will increase that conviction, and it will increase our conviction around the NII in 2027 and 2028. Venkat?

C.S. Venkatakrishnan

Yes. So first, I mean, it's a good question.

I think the bottom line is we want to be able to serve our customers in the UK for the entirety of their financial needs. This includes deposits, this includes loans, this includes payments, and of course, this includes investments. And in order to do that, you've got to do two things.

One is to widen the base of your customers, and then the second is to broaden the products that you offer them. So the widening of the base of the customers, you have seen with our investment

in Premier, and in fact, with our acquisition of GoHenry, which is for the next generation of our customers in the longer term.

And in terms of products, you've again seen it. And by the way, the other widening of the base was with Tesco and the acquisition of Tesco Bank. Widening the products, you've seen it with mortgages, Kensington mortgages. You've seen it with some of our credit card products like in Tesco and personal loans with Tesco, and now you're seeing it in investments. And in investments, again, think of it in two ways.

There's self-directed investments, which is where we remove the custody fees, where we want people to come in and invest. And of course, we are still [charging] for transactions in stocks and ETFs. And then the second thing is to move on the journey of advice and guidance in your investment, and which is what our Planning and Advice offering is. Where again, if you're a Premier customer, there's no custody upfront fee, but there will be other ways in which we can help you.

The idea behind all of this is to make it low cost, transparent, transparently constructed, transparently priced, and then risk-appropriate, tailored for people at different stages in their financial journey. And you're right. What happens ultimately, we think if this works, is that a customer is there with Barclays for the entirety of their financial needs and that we provide it to them safely, we provide it to them efficiently, and we provide it to them transparently and cost-effectively.

Anna Cross

So Chris, just before we leave you, just to put some numbers around that. I mean, we believe there are 400,000 customers within our BUK customer base who would benefit directly from this kind of advice that Venkat called out. So clearly, that ability to connect them digitally, we think is an opportunity for us. And sorry, I didn't really answer you on the exit run-rate.

So, I won't give you a specific, but what I would say is that if you look in the first half, the product margin impact on that NII bridge has been negative. What we expect in the second half is for it to be neutral to positive. So, that would underpin that accelerating NII that you call out. But thank you for the questions.

Can we go to the next questions, please?

Edward Firth, KBW

Yeah, thanks very much. Good morning, everybody. I just had two questions.

The first one, in terms of this additional investment in the second half, I think previously you were committed to BUK costs falling every year for the next three years, I think that's the way you articulated it. Is that still your commitment? So even with that additional investment, will costs in BUK still be down each year for the next three years? That was question number one.

And then the second question was a slightly broader question. I get what you're saying about the NIM in the second half and the product margins will stabilise or even improve a little bit, but if I look at the totality of Barclays NII, it seems that volumes have taken off way faster than I think certainly consensus and certainly I expected. But your NII guidance is broadly the same, or even a little bit, maybe a tad lighter, which implies obviously that the margin is going to be lower than we were all expecting.

Firstly, is that broadly a fair representation? And secondly, are we talking about margins being there or thereabouts now going forward? I get what you're saying about the structural hedge momentum, but that actually if you're going to keep this sort of momentum growth in volumes, you're actually going to have to share most of that gain with customers going forward, if you're going to keep your share in the deposit market. Is that a sort of fair understanding? Thanks so much.

Anna Cross

Okay Ed let me start and I will then pass to Venkat if he's got any comments. So the answer to your first question simply is yes.

So, in incurring additional structural cost actions and in incurring some costs in quite frankly responding to regulation and getting to a more flexible pay mix for our MRTs (Material Risk Takers), these are not permanent elevations in the cost base. That's not what they are intended to do. They're intended to drive the returns of the firm and they are intended to create optionality and efficiency in the cost base.

For BUK, we still expect sequential falls year-on-year during this plan and for the Group as a whole, I expect positive jaws in every year of the plan. So that remains completely unchanged. That's what we meant when we said it's the momentum that allows us to do this, without disturbing the commitments that we have to the outside world.

And then on your second question, I think about it slightly differently, Ed. So we committed that we would put down £30 billion of RWAs in UK business growth across '24 to '26. And at the end of

the second quarter, we are at £25 billion. That is exactly where we expect it to be. So, the pathway between balance growth and NII growth is as we anticipated it.

And the thing that's driving the growth in NII across Barclays is not price, it's capability build. And that's true of every single product that we have. So if you go to mortgages, it's Kensington and it's the mortgage portal. That's what's allowing to drive our market share up, so that the gross share is higher than the stock share.

If you go to cards, it's Tesco and it's the customer journey. If you go to corporate, it's about the capabilities that we put down in terms of, speed to market, speed to lending. And I could go on, but this is capability led, it's not price led. So, we don't feel like we are under margin pressure.

Now that said, the UK market and indeed the US Consumer Bank markets are extremely competitive, but they always have been. And there's no real intensification of that beyond the comments that I've already made. We're confident in that progress, because we feel it's being driven by capability builds, and quite frankly, in some areas building back to a level of share that is more natural for us, particularly in something like corporate.

Edward Firth, KBW

The only thing I would add is that, on your Slide 10, you show £1.2 billion of additional revenue from the hedge and yet if I'm looking at your guidance, banking NII is not going to grow by £1.2 billion, it's going to be somewhat less than that.

So that would sort of imply that despite all the volume growth, the underlying NII, if it wasn't for the hedge, we wouldn't be getting really any NII growth at all. And I'm just thinking about what that means as we go beyond this year and into sort of '28, '29, '30, what's happening in terms of the underlying dynamics?

Anna Cross

Well, I mean, this is clearly the gross hedge income. The other thing I would say is, there is momentum from the structural hedge, we know that. That is somewhat enhanced by the fact that our deposit stability is there, and therefore it's important that we grow the deposit franchise also.

The thing I would also say is look back over the last few quarters, Ed, and add up what's coming in from the asset balance column in BUK, and you will see that you are getting to a building

momentum of asset income. I think you'll get to like £130 million to £140 million of additional income coming through in BUK alone on that metric. Clearly that is just building quarter in, quarter out. It's somewhat being led by mortgages, so the margin's going to be a little bit lower than BUK as a whole.

If you go into corporate, it's exactly the same, the NII growth in corporate is being driven by lending as much as it's being driven by deposits. And this is really important for the long-term balance of NII. Of course, at the moment, this is being disproportionately driven by the structural hedge, but at some point in the future, beyond 2028, it's really important that the diversification within NII comes through, and those asset balances start to carry that momentum from there on in. That's what we're very much focused on.

Thank you. Next question, please.

Andrew Coombs, Citi

Good morning. One follow-up on the structural cost actions, and then a fresh question on the Investment Bank please.

On the structural cost actions you've talked about a commensurate improvement in 2027 efficiency. So, is it fair to assume that these investments are more focused on the cost side, as opposed to revenue growth ambitions. And linked to that in your prepared remarks, you talked about the SCA in the UK, you talked about a higher cost: income [ratio] in PBWM. So is it fair to assume that's where the bulk of these structural cost actions are being deployed, is it in the UK businesses?

And then my separate question on the Investment Bank. Obviously a very strong quarter for Advisory, for ECM, for Equities. It's something we've seen from your peers as well, perhaps I could just invite you to talk a little bit about the sustainability of that industry wallet and comment on the AI [capital expenditure] super cycle, where we are in that and how that impacts on your thinking about the wallet opportunity going forward?

Anna Cross

Okay, Andy, I'll take the first one and then Venkat will take the second.

I mean, structural cost actions are focused on the cost base of the firm and improving the efficiency and the effectiveness and the cost: income ratio of the firm. I'd encourage you to think of structural cost actions as one of the investment options that we have.

We're clearly investing in driving the revenue and we take the same approach here. We have the same degree of focus on the ROI here, but you're correct, in that it will be focused on driving the gross efficiencies, i.e. it's entirely cost related. But it is one of many actions that we take in respect of investment and we think of it no differently.

I wouldn't think of it as particularly skewed to the UK. You should expect it to be more broadly focused across the organisation, given what it relates to, because it relates to platforms, it relates to processes, it relates to change agility. That is relevant for every part of the bank. We will come back to you on the split, as we have that detail.

The additional cost that we talked about in respect of MRTs, so the £100 million to £150 million, I would expect that to be more disproportionately focused on the Investment Bank. But note on the Investment Bank, also, because of the momentum there, we are repeating our guidance both for RoTE and for CIR for the year. Venkat?

C.S. Venkatakrishnan

On the Investment Bank, you are right that we are seeing fairly good momentum across the piece of the Investment Bank. I think AI [capital expenditure] through the cycle, it's a bit of a tough question, especially in the kind of environment in which we find ourselves. But I think over the long term, you're going to see investment in two parts.

You're going to see investment in people building up their systems and their processes to take a full advantage of AI, because you get the best outcomes if you've got efficient compute platforms, homogenised databases and the like and you will see that. And then of course, on the use of tokens. And in the tokenomics of this, some amount of efficiency will have to take place, where people distinguish between different types of languages, different forms of token usage, and the ways in which it is put to work.

As far as our own share through this, we've had a prominent role in some of the very large debt offerings that some of the US hyperscalers have made. We continue to advise many of them in an advisory way and on capital planning and expenditure.

And then there's, of course, all the ancillary stuff that comes into the industrial sector, including power and grid and construction. And we've got a fairly good industrious practice. So, you should expect us to continue to play a prominent role there.

Anna Cross

And Andy, if I might just add, of course, we want to be able to take advantage of the cyclical opportunities in front of us. But it's really important that we continue to keep that structural discipline around the IB, which you can see us doing quarter in, quarter out.

With that, I might just go to the next question, please.

Amit Goel, Mediobanca

Hi, thank you. I've got two questions. So one, just coming back on the additional SCAs, I was actually a bit surprised by the 100% return on investment. So, I just really wanted to understand a bit better, like if the returns on that type of investment are so high, wouldn't the Group be doing that kind of investment in any case? And, why limit it at the amounts being done? Why not more?

And then secondly, in terms of USCB, just trying to understand also the split or the expectation then for the NII versus non-NII as we look forward. Because if I understood from the call, NII is in broadly the right place now. I think previously you mentioned at Q1 that you'd expect non-NII to build to about 20% of total income. And I think consensus is now actually at 24%? So I'm just wondering whether you also think the non-NII expectation going out to 2028 is also a little bit too high at the moment. Thank you.

Anna Cross

Okay. Thank you, Amit. Why don't I take those questions? So on the first one, this is a plan of balance. We're trying to get a balance between progressive returns, progressive distributions and investments in the business.

And, you can see that balance in the first half. You can see that RoTE is 14.8%. You can see the EPS growth. You can see the growth in the distributions that I called out before. So we're really trying to ensure that, if you like, everybody shares in the momentum of the bank. And that's really important.

And it would be just as easy for us to not make those investments at all, but we don't think that is the right thing for the long-term returns and the sustainability of those returns as we look out to 2028 and beyond.

So, for us, it's really a balance. As we look at these investments, we do feel like it's the right time for us to do it, in part because of the momentum that we see that allows us to undertake them without disturbing our commitments to the outside world. But also that we have businesses that are primed for change, and they are able to absorb that degree of activity, as Venkat called out before, using USCB as an example. And clearly, we have a degree of execution discipline now that we've demonstrated over the last few years. So, we think it is the right time to do it, and as we go through the plan, you will see a balance of investment in the top line, investment to drive efficiency in this way, while still delivering progressive returns and progressive distributions.

In terms of USCB, look, we're trying to focus more on total income in this business, because the addition of Best Egg does make it a bit more of a complex mix. I think we get to 20% eventually, but clearly that's going to take some time for us to build, because what we are doing is we are originating balances through Best Egg, and we're building up that that managed portfolio, if you like. But in terms of the overall income trajectory of that business, we have considerable confidence in it for all of the reasons that Venkat outlined.

Okay, thank you, Amit. Perhaps we could go to the next question, please.

Perlie Mong, Bank of America

Hello, good morning. So we've talked a lot about cost. So it sounds like you want a balance between distribution, growth, various different things. Well, I think at this point, it looks like in the guidance, income is now £500 million higher and incremental cost is £450 million higher.

So if there is another quarter of very strong IB income, et cetera, would a lot of this incremental income be spent on SCAs? Because obviously, if you are having opportunities to invest in things that give you 100% ROI, that probably suggests that you have many other opportunities to invest and improve the long-term efficiency of the company. Is that the right way to think about it? Obviously, distributions is probably not in a bad place, and you are already on track to meet all of that.

And then the other question is just quickly on deposit mix in the UK. It does look like there's a bit more of a shift towards time deposit. Is it just a function of the ISA seasonality or is the fact that the market is a bit more competitive and therefore rates a bit higher? And I suppose if you look at

the swap rates, looks to be probably staying higher for a period of time. Should we expect a little bit more of a mix shift towards time deposits from here?

Anna Cross

Okay, thank you, let me take those. So what we're saying on SCAs is that we normally do £300 million. We've actually undertaken about £100 million in the first half. That means that in an ordinary course of business, we'd be telling you we expect to spend about £200 million in the second half. Actually, we've added up to £300 million to that. So we're talking about undertaking around £0.5 billion worth of structural cost actions in the second half.

In terms of an operational list and the level of investments that we can deploy wisely on behalf of the shareholder, we think that's the right sort of level. So clearly, as we look forward from here, Venkat and I have at least as much confidence in the RoTE of the firm as when we started the year for 2026.

And you can see that in the fact that we have upgraded our income twice, first to £31 billion and then to circa £31.5 billion. So we think there is momentum in the business, but this will be a big operational lift for us in the second half. And we are very focused on ensuring that we deploy that absolutely wisely. So yeah, that's our primary objective here.

And then in terms of your second question, well, our current accounts are broadly stable. We are, if anything, slightly better than the market. What we're really looking at here is some churn within the time deposit market and customers seeking yield. We say we feel like we've progressed through the ISA market well.

I think what's really important, because we've had some comments this morning about the structural hedge in relation to this. So what's really important to the structural hedge is to realise, number one, the structural hedge in no way relates to time deposits. They are, by definition, interest rate sensitive and are excluded from the hedge. So all of this churn has no impact on that for us or, indeed, for others. It's really the stability of the relationships overall and the current accounts. So, everything that we see in the deposit market is very rational from customers and doesn't undermine our long-term expectations in terms of NII.

Okay, thanks Perlie. Perhaps we could take the next question, please.

Nicolas Payen, Kepler Cheuvreux

Yes, good morning. I have two questions please. The first one is relating to the structural hedge. You mentioned that you expect the structural hedge income growth to continue beyond 2028. So, I don't know if at this point you can share anything regarding maybe the maturing yields beyond 2028, maybe the kind of marginal growth you expect beyond that point. That would be the first question.

And then the second question would be on your partnership in the US, with Samsung. Is there anything you can say maybe regarding the marginal contribution that you expect from this partnership on a, let's say, two-to-three-year basis? Great, thank you.

Anna Cross

Okay, Nicolas, I feel we're going to disappoint you on both of these answers in respect of the detail that we will give. So, we haven't given any detail on maturing yield beyond 2028.

Of course, we will do that in time. The only thing I would just anchor you back to is the fact that we are planning this on, we think, a very realistic basis at 3.5%. The fact that we have somewhat elongated the longevity of the swaps that we're putting into this hedge, reflecting the length and the stability of the relationships that we enjoy across the bank. It's those two things that we feel will carry the momentum beyond 2028. We're just not in a position to give you that maturing yield at this point in time, although we will do at some point.

In terms of the partnership [with] Samsung, we don't actually call out the economics of any individual partnership, but I think, to Venkat's earlier point, this is one in which we are very excited. It's a de novo partnership, so it starts from zero. And what you're seeing is the fact that we have built a digital card capability in order to bring this partner on board. And you should expect us to continue to build out the kind of capability that you would see in another digital wallet.

C.S. Venkatakrishnan

Yeah, I mean, look, think of this as more about a statement of capabilities in two ways. One is our ability to do this relatively quickly, at a time when we were doing lots of other things like Best Egg and American Airlines.

And second what this means, because as Anna just said, it is a card capability layered into a fuller digital wallet on the Android ecosystem, an important player in the Android ecosystem, and one of the world's leading tech companies which is well known for its very high standards. That kind of

partnership is demanding of us and also makes us much better, not just here but more broadly. So, it's a capability expansion and hopefully a financial expansion over time.

Anna Cross

Thank you, Nicolas. Perhaps we could move to the next question, which I believe is the final one.

Alberto Artoni, Intesa Sanpaolo

Good morning. Thank you very much for taking my question.

I just have one left. Just one clarification on cost, apologies for coming back on this topic. Given that your structural cost actions are going to be accelerated in the second half of the year, I just wanted to understand if that means that going forward, 2027 and 2028, you will have lower investments, lower structural costs because you just brought this to the second part of 2026?

Are you just accelerating and shifting this cost in the second part of 2026, or you're just increasing the amount of investment just because the opportunity is there for doing that?

Anna Cross

Okay. So don't think of it as an acceleration. Think of it as more. And I mean on both sides. So just for the current year, we have increased or we expect to increase our spending on structural cost actions, but you will also note that we have increased our expectation of gross efficiency saves over the entirety of the period. So, we're now saying that it was £2 billion. Now we're saying we expect to generate more than £2 billion of gross efficiency savings during that period.

So, from our perspective, you should expect us to continue to balance returns, distributions, and investments, both in terms of the top line and efficiency. So, clearly our priorities remain as they were. Regulatory capitalisation, followed by distribution, followed by investment in the business. If we see good opportunities to invest, where we feel that is the right thing for the shareholder, we will do that. But don't think of this as instead of '27 and '28. It is additional, but only because we have certainty that we can deliver the right returns.

Alberto Artoni

A quick follow up, because the guidance for 2028 has not been changed, if I got it right. So, it means that you have more confidence. So, I mean, this type of [additional] investment that you plan to make, will increase your confidence in your ability to deliver the results. Is that the way to read this process?

Anna Cross

Yes, increased confidence.

CS Venkatakrishnan

Look, thank you very much. We appreciate the time and the attention you've given. We look forward to meeting some of you on the road in the next few days.

What I would say to sum up is when you look at these results [as] a whole, we're 10 [quarters] into the plan we announced in 2024, and two quarters into the plan we announced earlier this year.

In every quarter, in every way, cumulatively and individually, we've been meeting our guidelines, sometimes a little more than others, but generally, it's been a part of progress in returns, a part of progress in distributions, a part of progress in efficiency in the bank and in our capabilities in the bank more broadly.

We are a bigger part of the UK ecosystem than we were. We maintain our strength and are a bigger part of the global ecosystem, especially in Equities and Financing, as we've spoken.

We are using the increased revenues from this first half to, A, increase distributions to our shareholders. B, to continue to continue to remain safe and well-capitalised, and C, to invest in our business for the long-term benefit of this business, both in terms of the revenue capability, the cost efficiency, and the ability to bring better products safely and quickly to our customers.

And we want to do, as we said, in the UK for the entirety of the customer experience and continue to be a great and important partner and a growing and important partner to our institutional clients worldwide.

Thank you. Have a good day.

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